Table M1: Client Selection, Audit Warnings, and Big 4 Client Risk

Panel E1: Client Characteristics — MAO Clients

Dependent variable	(1) Z-score	(2) ROA	(3) Loss	(4) Leverage	(5) Violation announcement	(6) Restatement
Big 4	8.953	3.604	-0.087**	0.085	-0.041**	-0.022
	(12.551)	(4.327)	(0.043)	(0.260)	(0.018)	(0.031)
Observations	4,627	4,627	4,627	4,627	4,627	4,627
Firms	1,319	1,319	1,319	1,319	1,319	1,319
Controls	No	No	No	No	No	No
Missing-value indicators	No	No	No	No	No	No
Firm FE	No	No	No	No	No	No
Industry × Year FE	No	No	No	No	No	No
Industry FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
SE clustering	Firm	Firm	Firm	Firm	Firm	Firm

Panel E2: Client Characteristics — GC Clients

Dependent variable	(1) Z-score	(2) ROA	(3) Loss	(4) Leverage	(5) Violation announcement	(6) Restatement
Big 4	30.524	12.155	-0.202**	0.548	-0.060*	-0.098***
	(40.232)	(14.128)	(0.079)	(0.866)	(0.032)	(0.031)
Observations	1,888	1,888	1,888	1,888	1,888	1,888
Firms	610	610	610	610	610	610
Controls	No	No	No	No	No	No
Missing-value indicators	No	No	No	No	No	No
Firm FE	No	No	No	No	No	No
Industry × Year FE	No	No	No	No	No	No
Industry FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
SE clustering	Firm	Firm	Firm	Firm	Firm	Firm

Significance: * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.